

Table 16.8

<i>Janus Capital Corporation Income Statement 2011</i>		
<i>Revenue</i>	<i>Millions</i>	<i>Percent</i>
Investment management fees	844.3	86
Performance fees	−11.7	−1
Shareowner and service fees and other	149.3	15
Total Revenue	981.9	100
<i>Operating Expenses</i>		
Employee compensation and benefits	294.9	44
Long-term incentive compensation	63.0	9
Marketing and advertising	28.0	4
Distribution	141.7	21
Depreciation and amortization	33.3	5
General, administrative and occupancy	109.2	16
Goodwill and intangible asset impairments		0
Total Operating Expenses	670.1	100
Operating Income	311.8	
Operating Margin	32%	

prices. He argues that the operating margins of 30% or so imply that shares should be priced at 20% to 35% of AUM. But mutual fund companies are typically priced at 1% to 4% of AUM. According to Huberman, Janus's shares are severely underpriced! Perhaps mutual fund company prices are low because investors anticipate that the active segment of the market will shrink—as it has been, albeit slowly. The ICI reports that index funds represented 7% of all equity funds in 1997, a figure that has climbed steadily to 16% in 2011. Pástor and Stambaugh (2012) claim that the size of the active mutual fund industry will decline very slowly because investors' learning about underperforming active funds is very slow. The mutual fund industry has hundreds of sponsor companies—ICI reports 713 at the end of 2011—and yet profit margins remain very high.⁴¹

⁴¹ Whether the mutual fund industry is competitive is still an open question. The dean of my institution, Glenn Hubbard, argues it is; see Coates and Hubbard (2007). But others disagree, as in Morley and Curtis (2010).